JUDGMENT SHEET

IN THE ISLAMABAD HIGH COURT,
ISLAMABAD

Criminal Appeal No.110 of 2014

Nadeem Ahmed Khan
Versus
The State through Chairman, NAB, Islamabad

Criminal Appeal No.113 of 2014

Azad Bakht
Versus
The State

Criminal Appeal No.114 of 2014

Tahir Atique Siddiqui
Versus
The State

Criminal Appeal No.115 of 2014

Shoaib ur Rehman
Versus
The State

Criminal Appeal No.116 of 2014

Salamat Ali Chaudhry
Versus
National Accountability Bureau through its Chairman and another

Appellants by	:	**M/s Muhammad Shahid Kamal Khan, Safdar Shaheen Pirzada, Ahtesham Aslam Khan, Fawzi Zafar, Kamran Murtaza, Azooma Hameed, Murtaza Feroze Khan Advocates for their respective Appellants/ accused.**
Respondents by	:	**Mr. Muhammad Rafay Maqsood, Special Prosecutor NAB.**
Date of Decision	:	**10-02-2025.**

SAMAN RAFAT IMTIAZ, J.

1. This single Judgment shall decide all the five Criminal Appeals because common questions of facts and law are involved therein.

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2. By way of these Appeals the Appellants/Accused [Azad Bakht, Nadeem Ahmed Khan, Shoaib ur Rehman, Tahir Atique Siddiqui, and Salamat Ali Chaudhry **("Appellants No. 1 to 5")**] have assailed the Judgment dated 27-11-2014 **("Impugned Judgment")** passed by the Judge Accountability Court-I, Islamabad **("Trial Court")** in the Reference submitted by the National Accountability Bureau, Islamabad **("NAB")** whereby the Appellants were convicted under Section 9(a)(iii)(iv)(xi) read with (xii) and Section 10 of the National Accountability Ordinance, 1999 **("NAB Ordinance")** and sentenced to Rigorous Imprisonment for five years each with fine imposed in the amount of Rs.5,000,000/- upon the Appellants No. 1 to 4 each and Rs.20,000,000/- upon the Appellant No. 5, which was directed to be recovered as arrears of land revenue and in default of payment thereof the convict/defaulter was to suffer Simple Imprisonment for one year.

3. The brief facts of the case are that an investigation was carried out on receipt of a Complaint from one Roshan Ali son of Karim Bukhsh **("Complainant")** regarding award of unlawful contract for the supply of 472 battery banks (OPZ's) and fraudulent payment of Rs.17,000,000/- by the Appellants No. 1 to 4 to Appellant No. 5. According to the Reference the investigation revealed that PTCL floated Tender Nos. 1303 and 1345 dated 2-6-2004 and 9-7-2004, respectively for the supply, installation, testing and commissioning of battery banks and subsequently awarded these contracts to the Telephone Industries of Pakistan **("TIP")**, Haripur Hazara at a total cost of Rs. 117,233,000/- inclusive of GST. Thus Contract Nos. PUR-5-22-2004/1303/TIP dated 17-1-2005 and PUR-5-22/2004/1341/TIP dated 7-4-2005 (Ex-PW14/8) were signed between PTCL and TIP officials for the supply of 55 battery banks and 417 battery banks respectively to PTCL on turnkey basis. The supply time period for the contracts was four months and six months respectively. TIP secured these two contracts from PTCL on the basis of local manufacturing at TIP premises in collaboration with M/s Hoppecke of Germany duly approved by the TIP Board. It has been alleged that the Appellants No.1 to 4 who worked as Managing Director, General Manager (F and P), General Manager (Digital Switching), and Deputy General Manager of TIP in violation of the contract clauses and decision of TIP Board and without inviting Tender unlawfully awarded sub-contract for the supply of 472 battery banks to the Appellant No. 5 at an estimated cost of Rs. 132,800,000/-. Whereas, as per the TIP tender offer the battery banks manufactured by M/s Hoppecke of Germany were to

be supplied and the MOU signed by and between TIP and M/s Hoppecke of Germany barred the involvement of any third party. Furthermore, the Appellant No. 5 with malafide and criminal intention presented an invoice along with a copy of fake Bill of Lading to TIP and got an illegal benefit of Rs.17,188,000/- with the connivance of Appellants No. 2 to 4 whereas, no supply was delivered to TIP for onward delivery to PTCL thereby causing a loss of Rs.17,180,000/-. PTCL terminated the contract vide Letter dated 24.1.2006 and forfeited the bank guarantee furnished by TIP amounting to Rs.8,930,000/-. Appellant No.5 with malafide intentions and ulterior motives vide Letter dated 13-5-2005 asked the Chief Engineer, PTCL for extension of the delivery period for the battery banks. In the said letter Appellant No. 1 falsely and dishonestly intimated PTCL authority that local manufacturing process of the batteries as per PTCL specifications is under process. The Appellants No. 2 and 3 in the capacity of General Manager, Digital Switching TIP, and General Manager (F and P) TIP respectively in connivance with Appellant No.4 without verification and scrutiny dishonestly and malafidely signed the cheque of fraudulent payment amounting to Rs. 17,188,440/- and thereby illegally benefited Appellant No.5. The Appellant No. 4 with malafide intentions approved the fraudulent payment of voucher amounting to Rs. 17,188,440/- to the Appellant No. 5 without verification and proper scrutiny. The Appellant No.5 apart from getting an illegal contract executed in his name by Appellants No.1 to 4 fraudulently/dishonestly obtained illegal benefit of Rs. 17,188,440/-. It is also observed by the Investigating Officer that the Appellants No. 1 to 4 being holders of public office misused their authority so as to gain benefits for themselves and the Appellant No.5 and willfully failed to exercise their authority to prevent the grant of undue benefit which they could have prevented by exercising their authority, and dishonestly/ fraudulently misappropriated funds entrusted to them resulting in a huge loss of Rs.26,850,000/- to TIP. They by corrupt, dishonest or illegal means obtained pecuniary advantages for themselves. Hence, a Reference under Section 18(g) of the NAB Ordinance was filed on 7-9-2006.

4. On filing of Reference and attendance of the Appellants copies were supplied to them. The charge against the Appellants was framed on 9-12-2006 as follows:

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I Sakhi Muhammad Kahut, Judge, Accountability Court No.II, Rawalpindi/Islamabad do hereby charge you, the above named accused as under:-

Firstly:
That during the year 2005, you accused No.1 to 4 while posted as officers in different capacities in TIP Haripur and as such being holders of public offices and you Salamat Ali Chaudhry (Accused No. 5) Proprietor of M/s AJ Power being in collusion with each other committed the following acts of corruption and corrupt practices:

i) The TIP having secured two contracts from PTCL for supply of ***472 battery banks*** *on the basis of local manufacturing at TIP premises in collaboration with M/s Hoppecke of Germany, you* ***accused No. 1 to 4 by way of misusing your official authority in clear violation of contract clauses and MOU for your ulterior motives unlawfully sub-contracted the work to M/s AJ Power owned by accused No.5 in order to give illegal benefit to him.***

ii) ***You, accused No.5 Salamat Ali Ch. with criminal intent fraudulently presented an invoice along with a copy of fake bill of lading and with the active connivance and undue favour of accused No.2 to 4 obtained illegal pecuniary advantage of Rs.17.188 million*** *by way of debit from TIP Account Nida-5 maintained in NBP, TIP Branch, Haripur and credit in favour of M/s AJ Power's account in Sonari Bank, Modal Town, Lahore,* ***whereas no such supply was delivered to TIP.***

iii), PTCL terminated the contract with TIP and forfeited the bank guarantee of Rs. 8,930,100/- provided as performance security due to non-compliance of contract by TIP and as such a loss of Rs.8.93 million was caused to TIP due to dishonestly misuse/abuse of authority by you the accused No.1 to 4.

iv). You accused No. 1 being MD TIP by misusing your authority illegally and malafidely having subcontracted the work to accused No.5, wrote a letter dated 13.5.2005 to PTCL seeking extension of delivery period falsely intimating to PTCL authorities that local manufacturing of battery banks is under process.

v). ***You accused No.2 & 3 in the capacity of GM (F&P) and GM (Digital Switching) respectively with malafide and dishonest intention signed the cheque of fraudulent payment amounting to Rs. 1,71,88,440/- in favour of your co-accused No.5 and as such dishonestly misappropriated the government funds entrusted to you and converted the same for the use of your co-accused.***

Secondly:
That the above malafide and illegal acts by way of misuse of authority have been committed by you accused No.1 to 4 so as to gain illegal benefit for yourself and your co-accused No.5 *and you willfully failed to exercise your authority to prevent the grant of undue benefit to accused No.5 and fraudulently/dishonestly misappropriated the funds entrusted to you resulting which a huge loss of Rs.26.85 million was caused to TIP.*

Thirdly
That you accused No.5 with the active connivance of your co-accused officers No. 1 to 4 *by corrupt, dishonest and illegal means obtained for you illegal pecuniary advantage causing corresponding loss to TIP and acting in conspiracy with your co-accused holders of public* ***offices aided, assisted and abetted the illegal acts and misuse of authority committed by them.***

Hence, you all have committed the offences of corruption and corrupt practices as defined in clauses (iii), (iv) & (vi) read with (xii) of section 9(a) punishable u/s 10 of NAO 1999 and also the offence defined and punishable under S.No.5 of schedule thereto which are within the cognizance of this court.

And I hereby direct that you be tried by this court on the said charges." [Emphasis added].

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5. The Appellants pleaded not guilty. Whereafter the prosecution evidence comprising 18 witnesses was recorded. The statements of the Appellants were recorded under Section 342, Cr.P.C. All the Appellants opted not to appear as their own witness under oath however they produced certain documents and the Appellants No. 1 and 5 also produced three witnesses i.e. DW-1 to DW-3. After completion of trial and hearing the arguments, the Trial Court passed the Impugned Judgment whereby convicted and sentenced the Appellants/accused as mentioned hereinabove. Hence, these Appeals.

6. The learned counsel for the Appellants submitted that the Trial Court misread the material evidence and has given undue favour to the prosecution while passing the Impugned Judgment of conviction and sentence. The learned counsel for the Appellants submitted that the Appellants No. 1 to 4 are employees of TIP whereas the joint venture was between TIP and M/s Hoppecke of Germany to make batteries with German technology to be supplied to PTCL. TIP failed to supply to PTCL in time because of the M/s Hoppecke of Germany's failure to deliver on time as such PTCL encashed the performance guarantees. Thereafter TIP contracted the Appellant No.5 for supply of battery banks. He highlighted that Muhammad Iqbal Qasmi, Assistant Director FIA, Headquarters Islamabad (PW-18) admitted in cross-examination that it was not proved in black and white during investigation that the Appellants have derived any monetary benefit from the Appellant No.5 or anyone else in this regard. The learned counsel highlighted that the Complainant of the case has not been produced by the prosecution; that the Trial Court did not discuss the criminal intent of the Appellants; that the Trial Court committed grave errors in ignoring the absence of *mens rea* on part of the Appellants.

7. The learned Special Prosecutor, NAB submitted that the Inquiry Report of TIP and PTCL submitted by Iftikhar Ahmed Bashir, Legal Advisor PTCL, Headquarter, Islamabad (PW-9) as Ex.PW9/3 implicates the Appellant No.5 and that the suit for damages filed by the TIP against the Appellant No.5 was decreed ex-parte.

8. In exercise of the right of rebuttal the learned counsel for the Appellants pointed out that the conviction is not made out under Section 9(vi) of the NAB Ordinance and submitted that whereas the conviction under Section 9(a)(iii) and (iv) involving misappropriation, conversion, and pecuniary advantage is untenable.

He also highlighted that Zulifqar Ali (PW-1) who was the Commercial Officer Executive Accounts Cost and Ledger DS Division, TIP, Haripur confirmed in this examination-in-chief that the consignment of battery banks was delivered and received in Karachi in August, 2006.

9. We have heard the learned counsel for the parties and have also perused the record.

10. At the very outset, it is beneficial to reproduce Sections 9 (a) (iii) (iv) (vi) (xi) (xii) and 10 where under the Appellants have been charged and/or convicted as follows:

> ***"9. Corruption and corrupt practices.***
>
> *(a) A holder of a public office, or any other person, is said to commit or to have committed the offence of corruption and corrupt practices-*
> *(i) ----; or*
> *(ii) ---; or*
> ***(iii) if he dishonestly or fraudulently misappropriates or otherwise converts for his own use, or for the use of any other person, any property entrusted to him, or under his control, or willfully allows any other person so to do; or***
> *(iv) If he by corrupt, dishonest, or illegal means, obtains or seeks to obtain for himself, or for his spouse or dependents or any other person, any property, valuable thing, or pecuniary advantage; or*
> *(v)----;*
> *(vi) If he intentionally misuses his authority by disregarding law so as to gain any 'monetary benefit or favour' for himself or any other person related to him or on his behalf.*
> *(vii) Omitted;*
> *viii) ------;*
> *(ix) ----; or*
> *(x) ---;*
> *(xi) if he, in his capacity as a banker, merchant, factor, broker, attorney or agent, commits criminal breach of trust as provided in section 409 of the Pakistan Penal Code, 1860 (Act XLV of 1860) in respect of property entrusted to him or over which he has dominion; and*
> *(xii) if he aids, assists, abets, attempts or acts in conspiracy with a person or a holder of public office accused of an offence as provided in clauses (i) to (xi).*
>
> ***10. Punishment for Corruption and corrupt practices.***
> *(a) [A holder of public office, or any other person who commits the offence of corruption and corrupt practices shall be punishable with [rigorous] imprisonment for a term which may extend to 14 years [and with fine] and such of the assets and [pecuniary resources] of such [holder of public office or person, as are] found to be disproportionate to the known sources of his income or which [are] acquired by money obtained through corruption and corrupt practices whether in his name or in the name of any of his dependents, or benamidars shall be forfeited to the appropriate Government [or the concerned bank or financial institution as the case may be.]*
> *Provied that the convict shall be entitled to benefit under section 382-B of the Code."* [Emphasis added].

11. The Reference is self-contradictory as on one hand it has been alleged that TIP secured the two contracts from PTCL on the basis of local manufacturing at

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TIP premises in collaboration with M/s Hoppecke of Germany while on the other hand it states that as per the TIP tender offer the battery banks manufactured by M/s Hoppecke Germany were to be supplied. Mr. Iftikhar Ahmed Bashir, who was the Legal Advisor of PTCL and appeared as PW-9 testified that he formed the opinion contained in Ex-PW9/1 that the award of contract by TIP to Appellant No. 5 indicates serious irregularities and *mala fide* intent for personal benefits on the basis of clause 22 of the contract between PTCL and TIP which prohibits awarding of sub-contract. We have examined clause 22 of the contract between PTCL and TIP produced as Ex-PW-14/8, which reveals that it *inter alia* simply prohibits TIP from assigning or sub-contracting the Contract without prior consent of PTCL. Contract No. PUR-5- 22/2004/1341/TIP dated 7-4-2005 produced as Ex-PW-14/8 was for the supply, installation, testing and commissioning of battery sets. The learned Special Prosecutor could not identify any clause of the contract whereby the battery sets to be supplied were to be manufactured by TIP. Without such provision in the contract the procurement of battery sets from the Appellant No. 5 for supply to PTCL cannot constitute sub-contracting.

12. On the other hand, Mr. Hadi Hussain, Senior Accountant, TIP Haripur appeared as PW-2 and admitted in his cross examination that the Appellant No. 5 is actually the sole and authorized representative of M/s Hoppecke of Germany in Pakistan. Similarly, PW-14, Mr. Hafiz Abdul Bari, Deputy General Manager, Sale and Services Department, TIP, Islamabad confirmed that the 28 battery banks were supplied by M/s Hoppecke of Germany through Appellant No. 5, who was appointed as local representative of M/s Hoppecke Germany. PW-14 further confirmed that the agreement between TIP and Appellant No. 5 produced as Ex-PW14/13 was signed with the consent of the MD and that it also bears the MD's signature. Even otherwise, executing a sub-contract in violation of an agreement is purely a civil dispute. The learned Special Prosecutor failed to satisfy us as to how any offence under Section 9 of the NAB Ordinance is made out in case of granting of a sub-contract in violation of the parent contract.

13. Mr. Zulfiqar Ali, Commercial Officer Executive Accounts Cost and Ledger DS Division, TIP Haripur appeared as PW-1 and confirmed that the consignment of 9 sets of battery banks was received at Karachi by TIP on 15-12-2005 and which were handed over to PTCL and 28 sets were delivered to the TIP Office on 2-12-2005 which were delivered to Haripur in August, 2006 out of which 2 sets were delivered to PTCL whereas, the remaining were still lying in TIP Store as on the

date of cross examination of PW-1. He further admitted that there were some loose sets which were also received apart from the aforementioned 37 sets which were 12 in number and were also admittedly lying in TIP Store. However, he claimed that the loose sets were not sufficient to make complete battery banks. PW-14, Mr. Hafiz Abdul Bari, Deputy General Manager, Sale and Services Department, TIP, Islamabad confirmed in cross-examination that nine battery banks supplied by the Appellant No. 5 to PTCL were installed, tested, and commissioned by him and that 24 battery banks were lying in the TIP store and that if the contract had not been terminated by PTCL the remaining would have also been supplied and installed. PW-13, Mr. Sarwar Khan, General Manager, Digital PTCL, Islamabad also confirmed that TIP had made part supply of the battery banks to PTCL.

14. In any event, PW-1 confirmed that against the consignments that were received an amount of Rs. 7,580,000/- was deducted from the advance payment of 60% excluding sales tax made to Appellant No. 5. According to him the balance of Rs. 15,603,000/- was left outstanding against the Appellant No. 5. However, admittedly the payment of 60% advance is evidenced by the voucher produced as Ex-PW1/2, which is in the amount of Rs. 17,188,440/-. Thus, at the most the amount left outstanding against the Appellant No. 5 would be Rs. 9,608,440/- according to the value of the delivered battery banks as testified by PW-1. However, it is also important to note that he admitted in cross-examination that he could not explain how the assessment that the value of the battery banks that were admittedly received was Rs. 7,580,000/- was made. On the other hand, PW-14 stated on cross-examination that the four battery banks were sold by TIP for about Rs. 1,600,000/- inclusive of taxes. Thus the value of the battery banks that were admittedly delivered was not established. As such, the prosecution failed to establish the charge against the Appellant No. 5 that he obtained illegal pecuniary advantage of Rs.17,188,000/- whereas no such supply was delivered to TIP.

15. There is no evidence on record that the amount of Rs.8,930,100/- forfeited by PTCL by way of forfeiture of bank guarantee of TIP resulted in any monetary benefit or favour for the Appellants or any other person related to them or on their behalf. Similarly, there is no evidence on the record that seeking extension in the delivery period from PTCL resulted in any monetary gain or favour for any of the Appellants or any other person related to them or on their behalf. In fact it was admitted by PW-18 namely, Muhammad Iqbal Qasim, Assistant Director FIA Headquarters Islamabad that it is correct that it was not proved in black and white

during investigation that the Appellants had derived any monetary benefits from the Appellant No. 5 or anyone else.

16. Insofar as the charge against the Appellants No. 2 & 3 of signing the cheque of fraudulent payment amounting to Rs. 17,188,440/- in favour of the Appellant No.5 with *mala fide* and dishonest intention and as such converting the same for the use of the Appellant No.5 is concerned it has already been settled in *Muhammad Masood Chisti vs. Chairman, National Accountability Bureau, Islamabad and 4 others*, PLD 2021 Islamabad 350 that the offences under the NAB Ordinance include the requirement of *mens rea* as well as *actus rea*. Thus even if the prosecution was able to prove that delivery against the advance payment was not made by the Appellant No. 5 that by itself would not establish the offences under Section 9(a)(iii)(iv) against the Appellants No. 2 or 3 as the language used therein requires that the conversion must be dishonest or fraudulent and the seeking to obtain pecuniary benefit must be by corrupt, dishonest or illegal means. The record is devoid of any evidence that the Appellants No. 2 or 3 signed the cheque for the payment of Rs. 17,188,440/- to the Appellant No. 5 knowing that delivery would not be made fully. None of the witnesses stated a word about the criminal intent of the Appellants. In fact, PW-1, Mr. Zulfiqar Ali, Commercial Officer Executive Accounts Cost and Ledger DS Division, TIP Haripur admitted in cross-examination that advance payment was allowed under the agreement between TIP and the Appellant No. 5 which he confirmed he had perused and further that all required documents for such advance payment were enclosed with the request for advance payment and that there was no departure from procedure to the extent of preparation of voucher of 60% of the total amount. As such the prosecution was unable to prove that signing of the said cheque was with mala fide or dishonest intent. Therefore, the necessary ingredients of Section 9(a)(iii) and (iv) are not made out.

17. At the most it is a case of breach of contract. Appellant No. 1 produced Ex-D-28 which is a copy of plaint filed by TIP in the suit instituted against *inter alia* Appellant No. 5 under Order XXXVII, CPC alleging dishonor of two cheques upon presentation on account of failure to deliver 46 battery banks. The said suit was decreed in favour of TIP vide judgment and decree dated 26-11-2009 produced as Ex-D.30 and Exh. D.31, respectively. Moreover, PW-18 admitted in cross-examination that Rs. 35,000,000/- were returned to TIP in the form of bank guarantee submitted by the Appellant No. 5.

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18. Since the primary offence has not been made out the charge for the offences under Section 9(a)(xii) cannot sustain nor is there otherwise any iota of evidence of any aiding, assisting, abetting or attempts or acts by the Appellant No. 5 in conspiring with the Appellants No. 1 to 4[1]. The Appellants were not charged with the offense under Section 9(a)(xi) yet have been convicted thereunder.

19. The learned Special Prosecutor was unable to satisfy us that any offence under Section 9(a) of the NAB Ordinance was attracted on the basis of the material on the record. Thus we are satisfied that under the facts and circumstances of the case in hand, no offence under Section 9 of the NAB Ordinance has been made out.

20. Consequently, the titled Appeals are allowed and the Appellants' conviction and sentences under Section 9(a)(iii)(iv)(xi) read with (xii) and Section 10 of the National Accountability Ordinance, 1999 are set aside.

(CHIEF JUSTICE) **(SAMAN RAFAT IMTIAZ)**
JUDGE

Tanveer Ahmed/*

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[1] *Shaikh Shahid Umar vs. The State*, 2023 P.Cr.L.J. 795.